

Employing in Myanmar

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under Myanmar's labour law framework
- **Monthly payroll** — salary payments in MMK, itemised payslips
- **Tax withholding** — progressive income tax withheld and remitted to the Internal Revenue Department
- **Social Security Board (SSB)** — health, social security and pension contributions for formal-sector employees
- **Leave and termination management** — notice periods and entitlements guidance

Employment Conditions

Contracts & Probation

Myanmar's regulatory environment has seen limited legislative change in recent years; employers should expect ongoing administrative variability and confirm current requirements before finalising contracts. A written employment contract is standard practice, with probation commonly 3 months.

Item	Detail	Legal Basis
Standard hours	8 hours/day, up to 48 hours/week	Factories Act / Shops and Establishments Act
Probation period	Commonly 3 months in practice	Employer discretion / contract
SSB registration	Mandatory once a business has 5+ workers	Social Security Law

Minimum Wage & SSB Contributions (2026)

Measure	Rate	Notes
National minimum wage	MMK 7,800/day (8-hour workday)	Unchanged since October 2025; no further update announced for 2026
SSB employer contribution	3% of wages	Capped at a wage base of MMK 300,000/month (max MMK 9,000/month)
SSB employee contribution	2% of wages	Same MMK 300,000/month wage base cap (max MMK 6,000/month)

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	Statutory minimum applies after 12 months' continuous service	Employer	Varies by sector (factory vs. shop/establishment rules)
Casual Leave	Short-term paid leave for personal matters	Employer	Limited days per year, set by sector rules
Maternity Leave	Available via SSB for covered employees	Social Security Board	Requires SSB registration and contribution history

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
SSB employer contribution (3%, capped at MMK 300,000/month wage base)	\$3.30	0.11%
EOR service fee (HeroForce, Tier 2)	\$500.00	16.67%
Estimated total monthly cost	~\$3,503.30	~116.8%

HeroForce EOR service fee shown at USD \$500 per employee per month (Tier 2 pricing), no setup fee. SSB contributions are capped at a low MMK 300,000/month wage base (roughly USD \$95), so the employer contribution is negligible for professional-level salaries. Employee deductions (withheld separately) include the employee's 2% SSB share (same cap) and progressive income tax.

Income Tax (2026)

Myanmar applies progressive personal income tax rates on salary income after deductions for basic allowances and dependents. The corporate income tax rate is 22%, and commercial tax generally applies at 5%.

Termination & Separation

Termination practice in Myanmar is governed by a mix of sector-specific labour laws (Factories Act, Shops and Establishments Act) and individual employment contracts. Given ongoing administrative and political volatility, always confirm current notice and severance requirements with your HeroForce EOR before finalising any Myanmar termination — do not rely solely on general regional practice.

★ HERO TIP

Myanmar's regulatory and political environment has remained volatile in recent years, and administrative practice can differ materially from the letter of older legislation. Treat Myanmar as a jurisdiction requiring case-by-case confirmation from your HeroForce EOR before finalising contracts, terminations, or payroll structures — general regional assumptions are more likely to be wrong here than in most other APAC markets.

Public Holidays 2026 (Illustrative)

Myanmar observes a mix of fixed national holidays and Buddhist calendar observances that shift each year. Confirm the government-published schedule closer to the date.

Date (2026, approx.)	Holiday	Type
4 January	Independence Day	National
12 February	Union Day	National
~April	Thingyan (Myanmar New Year Water Festival, multi-day)	National — Myanmar's most significant holiday
1 May	Labour Day	National
19 July	Martyrs' Day	National
~October	Thadingyut (Festival of Lights)	National (Buddhist calendar)
25 December	Christmas Day	National

Ready to hire in Myanmar?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Myanmar employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$500** per employee per month, no setup fee (Tier 2).